AILEEN GUILLEN · THE TAX TEAM

# $24,000 salary.

The court said $91,044.

# The owner: a CPA with a master's in taxation, sole owner of his S corp.

**He took a small salary and the rest as distributions.**

**The IRS said much of it was really wages.**

**The court looked at substance over form: his experience, his hours, and what the firm earned from his work.**

# The lesson: "reasonable compensation" means what your work is worth, not what's convenient.

# Setting your 2027 salary? Start with what it would cost to hire someone to do your job.

The Tax Team